JATHNIER CORPORATION
Production Department
RUBY ST., RGA VILLAGE, DACUDAO,
DAVAO CITY, PHILIPPINES.
(082) 282 2439

TO : **DBC Employees**

FROM : Davao Baking Center Office

DATE : July 20, 2023

SUBJECT: **Standard Operating Procedure**

(DBC Internal Policies & Procedures 2023 - 02)

A. GENERAL RULES

The following rules of conduct apply to all employees under the Davao Baking Center (DBC) of Jathnier Corporation and form part of their terms of contract while employed.

Failure to do so could result in disciplinary action with possible dismissal. Other rules and regulations in the form of general memos may be promulgated from time to time as conditions warrant.

Management reserves the right to penalize or dismiss associates in cases of infractions that are equivalent and analogous to the offenses listed.

Stages for Developmental Disciplinary and Corrective Actions

Category	1st Offense	2nd Offense	3rd Offense	4th Offense	5th Offense	6th Offense	7th Offense
A	Verbal WARNING	Written WARNING	1 day SUSPENSION	3 days SUSPENSION	6 days SUSPENSION	12 days SUSPENSION with Warning on Dismissal	DISMISSAL
B	Written WARNING	1 day SUSPENSION	3 days SUSPENSION	6 days SUSPENSION	12 days SUSPENSION with Warning on Dismissal	DISMISSAL	
C	3 days SUSPENSION	6 days SUSPENSION	12 days SUSPENSION with Warning on Dismissal	DISMISSAL			
D	6 days SUSPENSION	12 days SUSPENSION with Warning on Dismissal	DISMISSAL				
E	DISMISSAL						

1. Confidentiality

- Employees may not disclose any information concerning the company's business to persons not employed by the company.
- Employees may not disclose sensitive or confidential information such as process and/ or product formulation, delivery schedule, or other confidential information to which they may be exposed in the course of their duties, to any person including other employees.

2. Customer Care

All Davao Baking Center associates are expected to display the highest standard of courtesy and service towards customers be it internal or external. Employees must not engage in any form of argument or act disrespectfully towards anyone, which may bring dishonor to the Company's name.

3. Conflict of Interest

- Employees may not engage in any business, nor do any work which may in any way interfere or distract the employee's focus on his obligations or duties to the Company.

4. Notices

- Employees may not remove, deface, or write upon any part of the Company's property or premises, signs or notices, nor distribute any printed matter on the premises, without prior approval of the manager or the administration. All notices must be posted on designated boards in areas of each station.

5. Lost Property

- Any lost property including money, mobile phones, etc. found on the Company's premises must be handed to the HR authorized personnel or the DBC officer on duty immediately.

6. Company Property

- Employees may not have or remove from the premises any company property unless with written authorization by the immediate head or the management.
- Employees may not hold or store any company property in places that are not designated as storage for said item or material without the authorization of the management.
- The Company reserves the right to search any locker, container, bag, or package that may be on Company premises.

6.1 Unauthorized entry or exit in areas other than those officially designated. - Category A

6.2 Littering or improper disposal of waste materials at any time within the company premises. - Category A

6.3 Unauthorized entry and exit and/or allowing unauthorized persons to enter restricted areas. - Category B

6.4 Contributing to unsanitary conditions or violating rules on health and sanitation within company premises. - Category B

6.5 Negligence - Failure to give proper and/or due attention to the Company Policies and Procedures, Standard Operating Procedures, Associate's Set Work Guidelines, and to particular duties and responsibilities inherent to the associate's work.

6.5A Omission or commission of an act WITHOUT injury, damage, or loss to the company or others. - Category B.

6.5B Omission or commission of an act with injury, damage, or loss to the company or others. - Category C

6.6 Unauthorized use or repair or allowing unauthorized use or repair of Company property.

6.6A Without resulting in loss, damage, or injury. - Category B

6.6B Resulting in loss, damage, or injury up to P1,000.000 - Category C

6.6C Resulting in loss, damage, or injury beyond P1,000.00 up to P5,000.00. - Category D

6.6D Resulting in loss, damage, or injury beyond P5,000.00. - Category E

6.7 Gross Negligence - an extremely careless action that shows recklessness or willful disregard for the safety or property of others and the company. - Category E

7. Timekeeping and Punctuality

- All employees are to scan or log in at the beginning and the end of the shifts. Failure to do so, or leaving the premises during working hours for any reason, may result in non-payment and could amount to an offense and is subjected to disciplinary action as stated in the Corporate Policies and Code of Discipline.
- Clocking or encoding another employee's ID or altering DTR entry will be regarded as a fraudulent offense.
- An employee is expected to notify the company on the first morning of absence and when they are expected to be back at work, regardless of the reason.
- Tardiness exceeding three (3) allowable instances either at reporting time or after any given break periods between working time in one fiscal month - Category A.
- Failure to log in and out as required during official duty hours without justifiable reason. - Category A
- Doing or causing to do unofficial work or working on personal matters during official working hours. - Category C
- Leaving work without valid or justifiable reason while on duty or during official business. - Category C
- Failure to attend or complete training, seminars, workshops, or meetings without justifiable reasons could amount to an offense under Category C.
- Unauthorized absence without prior permission from the immediate superior in one cut-off period.

  7.1 1 to 3 days - Category C

  7.2 4 days and above - Category E
- Unauthorized absence arising out of tardiness.

  7.3 1 to 3 times - Category C

  7.4 4 times and above - Category E
- Abandonment of work which is defined as failure to report for work or having been absent without valid or justifiable reason and there is a clear intention to sever his/ her employment regardless of the number of days of absence - Category E.
- Insubordination - intentionally refusing to:

  7.5 Obey lawful written or verbal work-related orders and/or instructions from the immediate superior. - Category C

  7.6 Appear during an investigation authorized by the company. - Category C

  7.7 Work overtime and/or during holidays/ rest days without valid or justifiable reason after the associate agrees to such schedule. - Category C

  7.8 Work during an agreed-upon schedule without justifiable reason. - Category C
- Scanning or encoding of ID cards or time cards of another associate. - Category D.

8. Information Technology

- Computer and related technology resources provided by the Company may only be used for work-related activities by the Company's IT policy. (Refer to IT policy for sanctions.)

9. Unacceptable Behavior

- Employees must refrain from any form of physical violence, on or off the premises, against any person who is in any way involved with the Company.
- Employees may not use language that is abusive, insensitive, derogatory, or offensive to any person/persons.
- Intimidation will not be tolerated.
- Employees must respect one another's integrity and dignity and must refrain from committing acts of sexual harassment. (Refer to Corporate Policies and Code of Discipline for corresponding sanctions.)
- Unauthorized use of another person's belongings within the company premises or while on duty. - Category A
- Acts of discourtesy, rudeness, or use of foul or offensive language in addressing anyone at any time within company premises or anywhere during company-initiated activities to offend. - Category B
- Personal cell phones should not be allowed on the manufacturing floor at all, as even the momentary distraction of a call or message alert can potentially lead to an accident. Employees should not have phones on during work hours unless they are on a break from their duties and are in a designated break area. (Please refer to a memo on the Policy on Use of Personal Electronic Devices. Refer to the Corporate Policies and Code of Discipline for sanctions.)
- Unauthorized use of loudspeakers or playing loud music inside the DBC production area is not allowed as this can more or less disturb the production process.- Category A
- Soliciting or accepting bribes or tips for personal gain. - Category E
- Any form of pilferage, theft, or robbery from the Company or others. - Category E
- Colluding or conniving with anyone where the company stands to suffer financially or otherwise. - Category E
- Sabotaging company property, products, or services. Included in this are deviations made in the product formulation, processes, and procedure. - Category E
- Spreading false information and the like that would tend to damage or destroy a company's image and reputation. - Category E
- Any form of dishonesty, fraud, or deceit against the company or others.

  9.1 Deliberate submission of fraudulent documents, misrepresentation, and falsification of any kind. - Category E

  9.2 Forging signatures or any other acts of misrepresentation. - Category E

  9.3 Knowingly giving false information or misleading narration of facts. - Category E
- Commission of an act violating the Conflict of Interest Policy. Category E
- Lost trust and confidence. - Category E
- Gross abuse of status, position, or discretion of authority by committing or exercising decisions and actions over and above what is normally allowed as per relevant policies, procedures, guidelines, or established limits of authority. - Category E

- Commission of an act violating the Prevention on Bullying and Occupational Violence in the Workplace. (refer to Corporate Policies and Code of Discipline for sanctions.)
- Poor performance in two (2) successive periods based on ***Performance Management System*** results.

  - Category D
- Deliberately damaging the property of the company or others. - Category E

10. <u>Alcohol/ Drugs/ Weapons/ Gambling</u>

- Employees may not be under the influence of or in possession of, or consume any liquor or drugs while on Company premises or during working hours (which includes lunch and tea breaks).
- The Company reserves its right to refuse entry to or evict employees who report for work while under the influence of alcohol or drugs or who have a dangerous weapon.

  10.1 Refusal to submit to search, frisking, or interfering with security officers in the performance of their duties. - Category B

  10.2 Reporting to work areas under the influence of alcoholic beverages or showing behavior or drunkenness.- Category C

  10.3 Doing official transactions under the influence of alcoholic beverages or showing behavior or drunkenness regardless if the associate is off duty. - Category C

  10.4 Drinking alcoholic beverages while on duty and within company premises. - Category D

  10.5 Illegal gambling of any form, betting, soliciting of bets for any illegal gambling while on duty or within company premises - Category D

  10.6 Commission of an act violating the Drug-Free Workplace Policy. Category D or E. (refer to the Corporate Policies and Code of Discipline for sanctions).
- Employees may also not have any dangerous weapons or firearms on Company premises.

  10.7 Unauthorized carrying of deadly weapons at any time while on duty or within company premises, or anywhere during official business or company activities.

  10.7A Deadly weapons such as knives, ice picks, and the like - Category D

  10.7B Deadly weapons such as guns, explosives, and the like. - Category E

11. <u>Contractors and Visitors</u>

- Permission to bring visitors onto the site must be obtained from your Manager. All contractors and visitors are required to adhere to all company policies and are entirely your responsibility if brought onto the site by you.
- All visitors and contractors must report to reception first and complete the Visitors Register before progressing further into the factory.

12. <u>Smoking and eating in the Workplace</u>

- Smoking is strictly prohibited.

The Davao Baking Center ***strictly prohibits smoking in offices, production, and areas of vicinity during work hours and break-time periods***. This is done to protect the health of our non-smoker employees, our customers, our neighbors, as well as our environment. Smoking is seriously injurious to health and can damage your lungs over time. It has a serious impact on the body and can even lead to cancer. To avoid such adverse circumstances, ***no employee***

should be found smoking in common areas of the office, production area, selling area, cafeteria, staircase, restrooms, hallways, delivery van, or anywhere on the premises.

(Refer to a memo issued last June 15, 2023, on **NO SMOKING POLICY**.)

12.1 Smoking in areas not designated for smoking. - Category C

12.2 Smoking in restricted and hazardous areas including but not limited to fuel and gas storage facilities, basements, electrical rooms, enclosed and secluded places, and the like. - Category E

- Eating in production areas is prohibited except in areas designated for this purpose.
- Tasting or sampling of products or merchandise is strictly prohibited without the proper authorization of Management.

B. FOOD SAFETY AND QUALITY REQUIREMENTS

The Davao Baking Center strives to continually improve and are committed to;

- Ensure that all products produced, segregated, packed, stored, and delivered to the bakery outlets conform to the standard set and declared by the R&D Department and the QA Department.
- Ensure that all premises used by the Davao Baking Center in the production area and the distribution of our products are registered with the Local Authorities.
- Ensure that all appropriate and adequate management systems and controls are in place relevant to the types of products being produced by fully implementing the one-line system in premix preparation and production line.
- Ensure that all risks associated e.g. potential chemical, biological, physical, or allergen food safety hazards, with the production of our products, are reduced and eliminated during the manufacturing process whilst also ensuring that all raw materials are free from these hazards.
- Ensure that all employees have the necessary competence, skills, and understanding to perform their duties with the requirements of this policy by letting them attend training and seminars.
- Recognize and accept their responsibility to their customers.
- Only make use of accredited suppliers who conform to the Food Safety and Quality System.
- All employees accept responsibility and are committed to ensuring that all tasks are performed, in a hygienic manner so that the wholesomeness, soundness, and safety of the products are not placed at risk.

B.1 Failure to report communicable diseases or highly contagious diseases, refusing to comply, or interfering with medical advice to go on authorized leave or absence. - Category C

<u>HACCP</u> (Hazard Analysis Critical Control Point)

CCP - This is a process in which preventive measures are put into place to minimize or eliminate the risk of a hazard.

The control measures we need to have in the Davao Baking Center are the following:

- Industrial flour sieve
- Magnets
- Metal/ non-metal detector
- Egg separator machine
- Air pressure shower

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HAZARDS can be divided into three groups:

a. Biological - germs, bacteria, microorganisms

b. Chemical - overdosing of cleaning chemicals, cross contamination of chemicals with products, heavy metals, pesticide residues

c. Physical - metal, glass, wood, plastic, strings, paper cardboard, etc.

d. Allergens - The allergen within the company is wheat gluten, eggs, coconut, and nuts.

Please ensure that allergen procedures are adhered to at all times to prevent cross-contamination.

CCP monitoring - All staff is to ensure that all their check sheets are completed accurately and at the required frequency.

Employees are to report all non - non-non-conformance to their immediate supervisor or the QC/QA Officer on shift.

Should you have any clarifications, please contact the undersigned. Thank you and God bless.

Ellen June G. Miguel	**Meraflor Cariquitan**	**Melina G. Comedido**
DBC Production Manager	Asst. to the VP- Jathnier Corporation	VP - Jathnier Corporation